

CGTMSE: EMPOWERING WOMEN, ENABLING ENTERPRISES, CONNECTING THE WORLD

Building the Foundation for Inclusive Credit

Micro and Small Enterprises (MSEs) are a vital pillar of India's economic growth, yet access to institutional credit has traditionally remained a challenge, particularly for first-generation entrepreneurs who may not have adequate collateral or an established credit history. Recognising this gap, the Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) was setup in July 2000 by the Ministry of MSME, Government of India and SIDBI.

Over the past 26 years, CGTMSE has emerged as a key enabler of collateral-free and third-party-guarantee-free credit to MSEs. By sharing credit risk with lending institutions, the Trust has helped create greater confidence within the lending ecosystem and enabled entrepreneurs to access finance based on the viability and potential of their enterprises.

Scale with Purpose

CGTMSE has grown significantly in both scale and reach. During FY 2025–26, the Trust approved guarantees amounting to ₹4.32 lakh crore, registering a 42% growth over ₹3.05 lakh crore in FY 2024–25. With a wide network of Member Lending Institutions across banks, RRBs, co-operative banks, financial institutions and NBFCs, the guarantee mechanism is reaching enterprises across the length and breadth of the country.

Yet, the larger purpose extends beyond numbers. At its core, CGTMSE seeks to make formal finance more accessible to entrepreneurs who have the potential to create businesses, employment and sustainable livelihoods.

A Special Focus on Women

Women entrepreneurs are an important and growing force in India's entrepreneurial landscape. However, lack of collateral, limited formal financial history and difficulties in establishing creditworthiness can continue to constrain their access to institutional finance.

CGTMSE has introduced specific incentives to encourage greater credit flow to Women-led enterprises. Women entrepreneurs are eligible for a 10% concession in guarantee fee and enhanced guarantee coverage of up to 90%, providing additional comfort to lending institutions and reducing the cost and risk associated with financing.

The impact is visible in CGTMSE's portfolio. Women entrepreneurs accounted for approximately 22% of guarantees approved by number of accounts and around 17% by guarantee amount during the financial year 2025-26.

These numbers are encouraging, but they also represent an opportunity to go further—enabling more Women to establish, scale and formalise their enterprises and move from being entrepreneurs at the micro level to becoming larger employers, innovators and contributors to national and global markets.

Taking India's Credit Guarantee Story to the World

CGTMSE's journey is increasingly extending beyond national boundaries. A significant milestone was the Global Symposium on Credit Guarantee and 38th Annual Conference of the Asian Credit Supplementation Institution Confederation (ACSIC), hosted by CGTMSE in Mumbai on April 23–24, 2026, as part of its Silver Jubilee celebrations. The Symposium brought together participants from more than 19 countries and 26 leading organisations, including policymakers, credit guarantee institutions, financial sector leaders and international experts. It provided a unique platform for global institutions to exchange experiences and deliberate on the future of credit guarantees.

The strong international participation reaffirmed that credit guarantee institutions are increasingly recognised as important instruments of inclusive economic development. For CGTMSE, hosting this global gathering in India marked an important step in positioning the institution as an active participant in the global credit guarantee dialogue.

Supporting MSMEs to Go Global

Under the Export Promotion Mission – Niryat Protsahan, CGTMSE has launched the **Special Credit Guarantee Scheme – Collateral Support for Export Credit** to facilitate collateral-free export finance for eligible MSME exporters. The Scheme aims to reduce credit risk for lending institutions and facilitate timely export credit for eligible MSMEs.

Under the Scheme, eligible MSME exporters can avail collateral support for export-related working capital facilities up to an overall guarantee ceiling of ₹10 crore. Micro and Small Enterprises can receive a total guarantee coverage of up to 85% (as against normal coverage of 75%), while Medium Enterprises are eligible for 65% guarantee coverage.

The Scheme is expected to improve credit access, encourage lenders to support export-oriented MSMEs, and enable businesses to expand into global markets without the constraint of collateral. Eligible MSME exporters holding a valid IEC and Udyam Registration are encouraged to approach their Member Lending Institution or visit the DGFT portal to obtain Unique Identification Number (UIN). CGTMSE encourages MSME exporters to leverage this opportunity to strengthen their export competitiveness and accelerate India's journey towards becoming a global export powerhouse.

The Journey Ahead

From empowering Women and enabling collateral-free credit to supporting MSMEs in reaching global markets, CGTMSE is helping transform entrepreneurial aspirations into sustainable enterprises—strengthening India's journey towards a more inclusive, resilient and globally competitive economy.